CORRECTED TRANSCRIPT

NVIDIA Corporation (Nasdaq: NVDA)

Q4 FY2026 Earnings Call

Event date: February 18, 2026 | 5:00 PM ET | Event type: Earnings call | Reference: VT-218963

CORPORATE PARTICIPANTS

Simon Teague, Investor Relations, NVIDIA Corporation

Marcus Feld, Chief Executive Officer, NVIDIA Corporation

Anita Rao, Chief Financial Officer, NVIDIA Corporation

OTHER PARTICIPANTS

Hannah Osei, Analyst, Calder & Rowe

Victor Hale, Analyst, Westbrook Securities

Dmitri Volkov, Analyst, Halvard Research

Aisha Bello, Analyst, Ashford Grey

Ingrid Solberg, Analyst, Birchwood & Co.

Priya Natarajan, Analyst, Stonehaven Partners

Mei-Ling Chao, Analyst, Meridian Street Research

MANAGEMENT DISCUSSION SECTION

Operator

Good afternoon. My name is Josh and I will be your conference operator today. At this time I would like to welcome everyone to the NVIDIA Corporation Q4 FY2026 earnings conference call. All lines have been placed on mute to prevent any background noise. After the speakers' remarks there will be a question-and-answer session. If you would like to ask a question during this time, please press star then the number one on your telephone keypad. Thank you. I will now turn the call over to Simon Teague, Vice President of Investor Relations. You may begin.

Simon Teague, Investor Relations

Thank you, and good afternoon everyone. With me today are Marcus Feld, our Chief Executive Officer, and Anita Rao, our Chief Financial Officer. Before we begin, I would like to remind you that today's discussion contains forward-looking statements that are based on our current expectations and are subject to risks and uncertainties described in our SEC filings. Actual results may differ materially. We will also discuss non-GAAP financial measures; reconciliations to GAAP are in our earnings release and on our investor relations website. Unless otherwise noted, growth rates are year over year. The earnings release and the slides we will reference are available on our website. With that, I will turn the call over to Marcus.

Marcus Feld, Chief Executive Officer

Thank you, Simon, and thanks to everyone for joining us. Q4 FY2026 was a strong quarter for NVIDIA. Revenue grew 37% to $57.0 billion, and Data Center grew 41%, driven by demand for the Blackwell Ultra and Rubin platforms from cloud service providers and sovereign customers.

Demand for the Blackwell Ultra platform remains extraordinary, and the Rubin platform is in full production with first shipments to cloud partners this quarter. Our annual cadence is on track.

Sovereign AI continues to broaden our customer base: during the quarter we announced national AI infrastructure projects in three additional countries. Networking revenue more than doubled year over year as Spectrum-X adoption accelerated.

Turning to Automotive: revenue was $1.0 billion, up 33%, reflecting self-driving platform ramps with new OEM customers.

Turning to Professional Visualization: revenue was $0.6 billion, up 11%, reflecting RTX workstation adoption for AI and digital twins.

Turning to Gaming: revenue was $3.1 billion, up 5%, reflecting the GeForce RTX 50 series ramp.

Turning to OEM and Other: revenue was $0.4 billion, up 0%, reflecting crypto-related and other OEM products.

We are also broadening our platform beyond the data center. Automotive design wins now cover most of the top fifteen OEMs, Omniverse is being adopted by industrial customers for digital twins, and our robotics platform shipped to its first production customers. These are long-cycle businesses but they extend the reach of accelerated computing.

We feel good about our position and we are investing to extend our leadership. With that, let me hand over to Anita to take you through the numbers.

Anita Rao, Chief Financial Officer

Thank you, Marcus. Let me walk through the results for Q4 FY2026 and then our outlook.

Total revenue was $57.0 billion, up 37% year over year. By segment: Data Center was $51.9 billion, up 41%; Gaming was $3.1 billion, up 5%; Professional Visualization was $0.6 billion, up 11%; Automotive was $1.0 billion, up 33%; OEM and Other was $0.4 billion, up 0%.

In Data Center, revenue of $51.9 billion was up 40.7% year over year and up sequentially, driven by demand for the Blackwell Ultra and Rubin platforms from cloud service providers and sovereign customers. Growth was broad-based across regions.

In Gaming, revenue of $3.1 billion was up 5.4% year over year and up sequentially, driven by the GeForce RTX 50 series ramp. Mix was favourable.

In Professional Visualization, revenue of $0.6 billion was up 10.6% year over year and up sequentially, driven by RTX workstation adoption for AI and digital twins. Foreign exchange was a modest headwind.

In Automotive, revenue of $1.0 billion was up 33.3% year over year and up sequentially, driven by self-driving platform ramps with new OEM customers. Mix was favourable.

In OEM and Other, revenue of $0.4 billion was up 0.0% year over year and up sequentially, driven by crypto-related and other OEM products. Mix was favourable.

Gross margin was 70.4%, compared with 73.8% a year ago. Operating expenses were $6.9 billion, up 37%, as we continued to invest in our product roadmap. Operating income was $34.9 billion, a 61% margin.

The effective tax rate was 14.0%. Net income was $30.6 billion and GAAP diluted earnings per share were $1.26. On a non-gaap basis, earnings per share were $1.35.

Cash flow from operations was $33.2 billion and capital expenditures were $1.7 billion, for free cash flow of $31.5 billion. We returned $2.5 billion to shareholders, including $2.2 billion of share repurchases. We ended the quarter with $70.5 billion in cash and marketable securities and $9.0 billion of debt.

Let me turn to the outlook for Q1 FY2027. Total revenue is expected to be 41.4 billion dollars, plus or minus two percent. GAAP and non-GAAP gross margins are expected to be 72.8% and 73.6%, respectively, plus or minus fifty basis points. GAAP and non-GAAP operating expenses are expected to be approximately $6.6 billion and $5.1 billion, respectively. Further details are in the CFO commentary posted on our website.

With that, Marcus and I are happy to take your questions. Operator, please open the line.

QUESTION AND ANSWER SECTION

Operator

Thank you. We will now open the call for questions. As a reminder, please limit yourself to one question and one follow-up. Our first question comes from the line of Hannah Osei with Calder & Rowe. Please go ahead.

<Q - Hannah Osei - Calder & Rowe>

Thanks. You returned $2.5 billion to shareholders this quarter. Any change in how you prioritise buybacks versus dividends versus investment?

<A - Anita Rao>

Our framework hasn't changed. We invest first in the business, then return excess cash. This quarter that was $2.2 billion of repurchases and $0.2 billion of dividends. We have $20 billion remaining under the current authorization.

And to be clear about the base: the comparison a year ago was $41.5 billion of revenue, so the growth is on a large and growing base.

<Q - Hannah Osei - Calder & Rowe>

That's helpful. And as a quick follow-up, is there any change in the linearity you saw through the quarter?

<A - Anita Rao>

Mix was slightly favourable, mostly from the product cycle timing we talked about.

Operator

Your next question comes from the line of Victor Hale with Westbrook Securities. Please go ahead.

<Q - Victor Hale - Westbrook Securities>

Hi, thanks. Consensus revenue coming into the quarter was $56.4 billion; you printed $57.0 billion. Which part of the business surprised you most relative to your own plan?

<A - Anita Rao>

We don't manage to consensus, but relative to our own plan the upside came from Data Center. Consensus was $56.4 billion on your numbers; we came in at $57.0 billion. On the EPS line the comparison depends on which basis you use — our headline number is Non-GAAP.

And to be clear about the base: the comparison a year ago was $41.5 billion of revenue, so the growth is on a large and growing base.

<Q - Victor Hale - Westbrook Securities>

That's helpful. And as a quick follow-up, is there any change in the linearity you saw through the quarter?

<A - Anita Rao>

It's predominantly volume. Pricing was roughly stable year over year.

Operator

Your next question comes from the line of Dmitri Volkov with Halvard Research. Please go ahead.

<Q - Dmitri Volkov - Halvard Research>

Hi. Could you address the competitive landscape in Data Center? We're hearing about pricing pressure from a couple of your peers.

<A - Marcus Feld>

We take every competitor seriously, but our position in Data Center is defined by our installed base and ecosystem. Pricing in the quarter was consistent with our expectations and we gained share in the segments we track.

And to be clear about the base: the comparison a year ago was $41.5 billion of revenue, so the growth is on a large and growing base.

<Q - Dmitri Volkov - Halvard Research>

Thanks. One follow-up: how much of that is price versus volume?

<A - Anita Rao>

It's predominantly volume. Pricing was roughly stable year over year.

<A - Simon Teague>

Operator, before we take the next question, one correction to the prepared remarks: Anita referred to GAAP gross margin of 70.4%. The correct figure, as in the press release, is 73.4%. Non-GAAP gross margin was 74.2%. Apologies for the confusion.

Operator

Your next question comes from the line of Aisha Bello with Ashford Grey. Please go ahead.

<Q - Aisha Bello - Ashford Grey>

Thanks for taking the question. Can you talk about what you are seeing in demand for Data Center as you look into the next couple of quarters, and whether the growth rate you printed this quarter is sustainable?

<A - Marcus Feld>

Thanks for the question. Demand in Data Center remains very strong. We grew 41% this quarter on demand for the Blackwell Ultra and Rubin platforms from cloud service providers and sovereign customers, and while comparisons get tougher, the pipeline supports continued growth. I wouldn't extrapolate any single quarter, but the drivers are durable.

And to be clear about the base: the comparison a year ago was $41.5 billion of revenue, so the growth is on a large and growing base.

<Q - Aisha Bello - Ashford Grey>

Thanks. One follow-up: how much of that is price versus volume?

<A - Anita Rao>

It's predominantly volume. Pricing was roughly stable year over year.

Operator

Your next question comes from the line of Ingrid Solberg with Birchwood & Co.. Please go ahead.

<Q - Ingrid Solberg - Birchwood & Co.>

Thanks for taking my question. On the regulatory front, how do you see the risk from export controls on advanced products to China and what, if anything, is embedded in your outlook?

<A - Marcus Feld>

We engage constructively with regulators and comply with the law everywhere we operate. On export controls on advanced products to China, we have reflected what we know today in our outlook; the range of outcomes is wide and we will update you as there is clarity.

I'd also point you to the supplemental schedules we posted, which break this down by quarter.

<Q - Ingrid Solberg - Birchwood & Co.>

Got it, thank you. And just a follow-up on the mix: anything to call out?

<A - Anita Rao>

Nothing unusual on linearity; the quarter was fairly even and we exited with good momentum.

Operator

Your next question comes from the line of Priya Natarajan with Stonehaven Partners. Please go ahead.

<Q - Priya Natarajan - Stonehaven Partners>

Hi, thank you. On gross margin: you came in at 73.4%. Can you walk through the puts and takes and how we should think about the trajectory from here?

<A - Anita Rao>

Sure. Gross margin was 73.4% versus 73.8% a year ago. The main drivers were mix and scale in our data centers, partly offset by tariffs. Going forward we expect margins to be roughly in this range, with normal quarterly variation of fifty to a hundred basis points.

We will give you more detail at our investor day later this year.

<Q - Priya Natarajan - Stonehaven Partners>

Thanks. One follow-up: how much of that is price versus volume?

<A - Anita Rao>

It's predominantly volume. Pricing was roughly stable year over year.

Operator

Your next question comes from the line of Mei-Ling Chao with Meridian Street Research. Please go ahead.

<Q - Mei-Ling Chao - Meridian Street Research>

Good afternoon. Capital expenditures were $1.7 billion this quarter. How should we think about the return on that spend, and is there a point at which it moderates?

<A - Anita Rao>

Capital expenditures were $1.7 billion this quarter, and we expect the run rate to stay at roughly this level. We size investment against demand signals we can see, including contracted backlog, and the returns on the capacity we brought online over the last two years are well above our cost of capital.

And to be clear about the base: the comparison a year ago was $41.5 billion of revenue, so the growth is on a large and growing base.

<Q - Mei-Ling Chao - Meridian Street Research>

That's helpful. And as a quick follow-up, is there any change in the linearity you saw through the quarter?

<A - Anita Rao>

It's predominantly volume. Pricing was roughly stable year over year.

Operator

There are no further questions at this time. I will now turn the call back over to management for closing remarks.

<A - Marcus Feld>

Thank you all for joining us today, and thank you to our employees for their dedication to our customers. We look forward to updating you next quarter.

Operator

This concludes today's conference call. You may now disconnect.

Disclaimer: Verbatim Transcripts Ltd. produces transcripts from audio using a combination of automated speech recognition and human editors. While every effort is made to ensure accuracy, there may be material errors, omissions or inaccuracies in the reporting of the substance of the call. In no way does Verbatim Transcripts Ltd. assume responsibility for investment decisions made on the basis of this transcript. © Verbatim Transcripts Ltd. Unauthorized redistribution prohibited.